IEEE FINANCE OPERATIONS MANUAL (FOM) V. 55
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INTRODUCTION

IEEE must always demonstrate prudence, care, transparency, and responsibility with the funds with which it is entrusted. IEEE has a fiduciary responsibility not only to its members and the technical communities that it serves, but as a 501(c)(3) public charity, it has a responsibility to the public to deliver on its mission today and well into the future.

The following procedures affecting the financial matters of the IEEE have been incorporated into this IEEE Finance Operations Manual (FOM). Procedures related to investment matters are included in the IEEE Investment Operations Manual (IOM). These procedures shall be developed, updated, and approved by the various responsible Committees of IEEE, with oversight by the IEEE Finance Committee (IEEE FinCom). In accordance with IEEE Policies related to the financial operations of the IEEE, the members of the IEEE Board of Directors shall be informed of changes to these procedures thirty (30) days prior to implementation by the IEEE Finance Committee (IEEE Bylaws I-300.4.6).

Operational policies and procedures of the respective organizational units (OUs) shall not conflict with these procedures.

It is expected that volunteers and staff involved in operational planning understand the resulting financial implications and familiarize themselves with these procedures in their entirety, and with the corresponding policies found in Section 11 of the IEEE Policies. For ease of use of this manual, those policies have been inserted in the appropriate corresponding section in this document in Bold/Italic font.

Copies of these procedures shall be available on IEEE's website. Note: All dollar amounts in this manual refer to US dollars. (USD = US dollars)
Related manuals

- IEEE Audit Committee Charter
- IEEE Investment Operations Manual
- Expense Reimbursement Guidelines for IEEE Volunteers

FOM.1 – FINANCIAL STABILITY

Operational stability is critical to achieving IEEE's mission. IEEE's financial stability is a consequence of responsible spending, investments in technological and operational advancements, and a sustained focus on developing human capital accompanied by sound internal controls, resulting in IEEE's sustained relevance and growth. IEEE's commitment to prudence ensures short-term and long-term viability (IEEE Policies, Section 11.1).

In accordance with the not-for-profit corporation laws of the State of New York and the United States Internal Revenue Code, IEEE uses income from its activities and any incidental profit to fund its operations in furtherance of its mission.

A. Internal Control

Internal Control. It is the IEEE policy to maintain sound internal control. As part of their oversight responsibilities, specific staff and the external auditors evaluate the system of internal controls of the IEEE and recommend changes to IEEE Management and/or the Audit Committee who in turn recommend changes to the IEEE Board of Directors, as appropriate (IEEE Policies, Section 11.1.A).

Internal control comprises all the coordinated methods adopted by a business to safeguard its assets, verify the accuracy and reliability of its data, promote operational efficiency, encourage adherence to prescribed managerial policies and comply with legal and regulatory requirements.

This definition recognizes that a system of internal control extends beyond those matters that relate directly to the functions of the accounting and financial departments. In other words, it pertains to the entire enterprise.

It is the responsibility of IEEE's Staff to administer the system of internal controls which includes such processes as budgeting, tracking financial results against such budgets, forecasts of year-end financial results against budgets, metrics reports on business processes, audits of compliance with policy and procedures, etc.

The IEEE Staff shall make available financial reports to the Audit Committee. In response to such reports, the Audit Committee and/or other involved Committees of IEEE shall be responsible for assuring compliance with the system of internal controls and recommending enhancements thereto for consideration and approval by the full IEEE Board of Directors.

B. Prudent-Person Rule

Reasonable and Prudent Operations. It is IEEE policy to operate reasonably and prudently. The standard by which all aspects of operations of a not-for-profit organization are tested is reasonableness and prudence (IEEE Policies, Section 11.1.B). A person who has responsibilities in connection with the administration, investment, or distribution of property or assets of an organization acts in a fiduciary capacity. An individual acting in a fiduciary capacity is charged with meeting the standard of reasonableness and prudence required by the "prudent-person rule."

Under that rule a fiduciary should act in good faith with the same degree of judgment, reasonableness, and care in administering the affairs of the organization as they would exercise in their own personal affairs or in trust for another.

C. Short-Term and Long-Term Outlook

Financial Outlook. To be committed to its goals, IEEE shall take an approach that looks beyond specific calendar dates and always recognizes both historical context and the planned direction with a distinct emphasis on the future. The strategic planning process, budget process, and actual financial performance shall provide the framework for making decisions important to the vitality of the IEEE (IEEE Policies, Section 11.1 C).

Strategic planning and its process should consider the wide breadth of IEEE financial needs, planning, goals, and processes (including investment strategy, budgeting, forecasting, and appropriate oversight of wholly owned subsidiaries).

D. Risk Management.

Risk Management. IEEE recognizes that the proper management of risk is a core leadership function that must be practiced throughout IEEE. Enterprise risk management (ERM) is defined as a process that enables the enterprise to visualize, assess, and manage significant risks that may adversely impact the attainment of key organizational objectives. Therefore, an ERM methodology shall be specified for IEEE risk management, and it is the responsibility of IEEE staff and volunteer leaders to identify, assess, and manage risks using the ERM process. The Audit Committee shall oversee IEEE's risk management (IEEE Policies, Section 11.1 D).

FOM.2 – ANNUAL AND INTERIM REPORTING REQUIREMENTS

A. Audited Financial Statements

Audited IEEE Financial Statements and tax returns will be made available to the public annually (IEEE Policies, Section 11.2.A).

In accordance with the charter of the Audit Committee, the Audit Committee shall meet annually with the external auditors to review the audited IEEE financial statements of the preceding year and report to the Board of Directors. In compliance with the Bylaws and the New York Not-for-Profit Corporation Law, Section 519(a); the Board of Directors shall present the certified financial statements to the Assembly to be received on behalf of the IEEE membership at a special meeting, which shall take place during the first meeting of the Board of Directors after the external audit has been completed. A copy of the certified financial statement and the IEEE's tax returns will be available to the public on the IEEE website.

B. Annual Budgets

Using a process established by the IEEE Finance Committee, an annual budget shall be prepared for the ensuing year, subject to the approval of the Board of Directors (IEEE Policies, Section 11.2.B.).

The IEEE shall prepare an annual budget for the ensuing year, which shall be submitted to the Board of Directors for approval at its last scheduled meeting of the current year. This budget shall be distributed to all members of the Board of Directors, Finance Committee, Executive Director, Management Council, and key IEEE professional staff as defined by the Executive Director.

1. Purpose

   The budget process will begin mid-year using the latest available forecast to ensure appropriate funding of activities for the following fiscal year. Forecasting serves as a key mechanism for tracking progress and enabling professional staff to make necessary adjustments.
   Financial and operational reports, including updated consolidated forecasts, will be generated and distributed.

2. Role of the Finance Committee (IEEE FinCom)

   The IEEE Finance Committee, under the direction of the IEEE Board of Directors, provides oversight and guidance for the IEEE's annual budget and forecast processes.

3. Participation

   All IEEE Major Boards, sub-units consolidated by their Major Boards, Committees identified in IEEE Bylaw I-304.1, and departments, shall participate in the budget development process in accordance with the process established by IEEE FinCom and endorsed by the Board of Directors.

4. Staffing Plan

   The IEEE Executive Director shall develop and maintain a staffing plan for the total staff operation of the IEEE, including its OUs, which shall take into account the evolving needs of the IEEE, changing patterns of responsibility, and budgetary constraints. The plan shall be presented to the Board of Directors for approval each year and upon approval, shall be reflected in the annual operating budget of the IEEE. The IEEE Executive Director may implement changes to the staffing plan during the operating budget year without prior approval provided that (1) the total annualized salaries of all positions and vacancies authorized by the IEEE Executive Director shall not exceed the salary budget in the approved (or amended) operating budget of the IEEE, and (2) that any such changes shall be reported to the Board of Directors at its next regular meeting after the change is approved by the IEEE Executive Director.

5. General Process

The IEEE Executive Director and Professional staff will start the budget process by using the latest available forecast of the current year. This process should include a connection between the activity and the impact on revenue and expenses.

During the budget development process, there will be regular communication with IEEE FinCom. IEEE FinCom will oversee revisions until the budget is approved by the IEEE Board of Directors. Periodic updates will be presented to the IEEE Board of Directors, as appropriate. The final budget shall be submitted to the IEEE Board of Directors for approval prior to its last meeting of the year.

The annual operating and capital budgets with supporting documentation will be provided to the IEEE Board of Directors in preparation of their review and approval of the budget.

6. Budget Principles

General:

a) The IEEE Operations consolidated budget will reflect the strategy of the Board of Directors after careful consideration of short and long term impact on liquidity.

b) Non-operating activity shall include a reasonable budget for dividend and interest income but not include any estimate for realized or unrealized gains or losses on investments. Realized and unrealized investment gains and losses income are not in the IEEE Operations Budget.

c) Other non-operating expenses may include insurance and employer-made retirement plan contributions which are outside the operating plan of IEEE.

d) Taking all of the above into account will result in the "**surplus/(deficit) before tax**".

e) The final results of IEEE's anticipated financial performance should be the budgeted "**net surplus after tax**".

f) IEEE Bylaw I-108.5 prescribes funding for Regions, Sections, Chapters, Affinity Groups and Student Branches.

g) IEEE Member Dues and the IEEE-USA Assessment

Each year, the IEEE Finance Committee, as part of the budgeting process, shall consider whether to propose a new base for the dues algorithm specified in the Bylaws. A dues change item may be prepared by the Finance Committee and submitted to the Board of Directors as a Bylaw revision for consideration at the June meeting. The Finance Committee shall notify the Board of Directors whether it intends to propose a re-basing of the algorithm at least 30 days prior to the June Board of Directors meeting.

7. Initiatives

   Initiatives should reflect IEEE's commitment to fostering innovation with a balanced approach to experimentation, learning, and tolerance for failure. An initiative is a potential new and/or different product or program that will provide significant benefit to members, customers and/or the public, or which could have lasting impact on the IEEE's business processes. Initiatives are generally strategic in nature, are not operational necessities at the time of their initiation, and may require significant expenditures perhaps spanning multiple years.

   Financial thresholds may be established by the Board of Directors, such that proposals from a given OU below the threshold, shall be included in the budget and forecast processes.

C. Forecasts

All IEEE Major Boards, Committees identified in IEEE Bylaw I-304.1, and departments shall submit forecasts as scheduled by the IEEE Finance Committee. Sub-unit forecasts are consolidated by their Major Board in accordance with the process established by IEEE FinCom and endorsed by the Board of Directors. These forecasts shall be used to identify opportunities and risks to achieving the budgeted financial goals (IEEE Policies, Section 11.2.C).

Each OU is required to prepare forecasts of revenue and expenses against budget and explain significant variances as scheduled by the IEEE Finance Committee. The Finance Committee reviews the forecasts and provides the results to the IEEE Board of Directors.

D. Investment Reporting

Reports on investments in the IEEE Investment Fund shall be provided to the appropriate IEEE Organizational Units in a format and on a schedule approved by the IEEE Finance Committee (IEEE Policies, Section 11.2.D).

1. Internal – Periodic reports on the performance of the IEEE Investment Fund shall be provided by the IEEE Treasury Department.

2. External – Monthly and quarterly investment reports shall be provided to the Investment Committee and to the IEEE investment performance measurement consultant as necessary to conduct a review of investment performance by the Investment Committee.

3. Reports of IEEE Investment Fund performance shall include the expenses of the Fund, including both the internal and external expenses, the expense ratio, and the gains or losses after the expenses are deducted from the assets.

E. Financial Planning and Reporting

All IEEE Major Boards, sub-units consolidated by their Major Boards, Committees identified in IEEE Bylaw I-304.1, and departments are subject to the same financial policies and procedures. Additional policies also apply, due to the unique nature of these

units. The policies and procedures within IEEE Policies Section 11.2 shall supersede the operational policies and procedures prepared by the respective units, however such units may institute more restrictive procedures if deemed necessary or appropriate.

Financial Reports of IEEE shall be submitted on an annual basis to the U.S. Internal Revenue Service.

1. Use of Funds; Required Audits

   (a) Rights of units to obligate budgeted funds (see IEEE Policies, Section 11.2.E.1(a)).

   The designated officer or representative of units thereof may approve such obligations and commitments, provided they are within the terms of a properly approved budget. Only authorized IEEE staff may execute any contract over USD25,000, as defined under the procedures for Contract and Purchase Orders. See FOM 9.

   (b) Money on hand in the IEEE Societies, Technical Councils, Geographic Units, and Conferences is the sole property of IEEE. The only exceptions are conferences co-sponsored with non-IEEE entities. Any Society, Technical Council, Geographic Unit, and Conference funds, wherever held, may not be used for:

      1) Payments of any kind for the preparation or presentation of papers, whether to an individual or organizational unit, speaker, or author of paper, except for reasonable travel expenses.
      This policy shall not apply, however, to compensation for lectures or other IEEE-sponsored educational activities where a fee (or tuition) is charged.

      2) A single award by an organizational unit carrying a monetary value exceeding USD2,000, exclusive of scholarships and other approved awards for students. Awards above USD2,000 must be approved by the Awards Board.

      3) Electioneering of any kind for any IEEE office.

      4) Electioneering of any kind for any government office.

      5) Commercial promotional activities.

      6) Donations of a philanthropic nature, including scholarships, unless authorized in advance by the IEEE Board of Directors.

      7) Personal or commercial loans of any kind for any purpose.

      8) Lease or purchase of real estate, without prior authorization from the IEEE Board of Directors.

      9) Investment of surplus funds in any investment vehicle other than the IEEE Investment Fund.

(c) Should a reasonable and urgent need arise for a waiver of any of the prohibitions listed above, with the exception of item 2. (b)(9), a request for such waiver may be submitted by the organizational unit through the Director to the IEEE Board of Directors. Pending the decision of the IEEE Board of Directors on the request for waiver, no action contrary to the policy stated above may be taken by the unit.

(d) IEEE sponsored and co-sponsored activities conducted by any OU, which individually or collectively generate revenue or expense in excess of USD250,000 shall be audited by a fully qualified, independent, professional auditor. The audit shall be performed by a Certified Public Accountant, Chartered Accountant or equivalent source approved by the IEEE Internal Audit Department. Alternatively, the activity chair may engage the IEEE Internal Audit Department to arrange for and/or perform the audit. The selection of such auditors should avoid any conflict of interest with members of the activity. Audit fees will be paid by the IEEE sponsored activities.

Activities involving less than USD250,000 of revenue or expenses will be audited on a rotational basis. The IEEE Internal Audit Department will schedule and arrange with MGA and TA for the audits of these activities. If IEEE is not the lead sponsor, the audit is still encouraged. In the event the non-IEEE entities do not agree to the audit fee, the IEEE OU sponsoring the event will fund the audit, and IEEE Internal Audit Department will reduce its fee by half. For those activities not scheduled for an IEEE Internal Audit review in a given year, an audit shall be conducted by a committee, composed of individuals who have no direct or indirect responsibility for the financial transactions of the meeting.
An audit that identifies any issues or findings shall be sent to the IEEE Internal Audit Department for review and action.

2. Acceptance of Contributions

IEEE Organizational Units may accept contributions on behalf of IEEE, and such contributions shall be the sole property of IEEE. Contributions in excess of an amount specified in the IEEE Finance Operations Manual must be reported to the appropriate IEEE staff to facilitate the preparation of appropriate tax reporting documentation and acknowledgements (IEEE Policies, Section 11.2.E.2.).

Contributions made to IEEE OUs in excess of USD250 shall be reported to the IEEE Development Office, in order that appropriate acknowledgements may be sent and records kept.

3. Financial Assistance to Local Student Branches

IEEE funds allocated to Societies, Technical Councils, Conferences, and Geographic Units may be used to supplement the operation of Student Branches.

FOM.3 – ASSET/LIABILITY MANAGEMENT

Adherence to the policies in this section regarding Asset/Liability Management shall apply equally throughout the entire world, except where local laws and regulations prohibit

compliance. Compliance outside the United States shall be to the maximum extent possible. (IEEE Policies, Section 11.3)

A. Asset Management

1. Investments

   Please refer to the IEEE Investment Operations Manual (IOM) for further detail and clarification.

   IEEE OUs that have funds to invest must place them in the IEEE Long Term Investment Fund unless an alternative use of funds is authorized by the IEEE Board of Directors.

2. Banking

   To the maximum extent possible IEEE Geographic Units and IEEE Conferences are encouraged to participate in the IEEE Concentration Banking Program, which shall be defined in the IEEE Finance Operations Manual. All other IEEE organizational units shall conduct their banking through central IEEE treasury processes (IEEE Policies, Section 11.3.A.2).

   IEEE OUs, including Regions, Sections, Chapters, Branches, Conferences, Geographic Councils, Standards Working Groups, and all other related groups are encouraged to use Concentration Banking accounts as their only bank accounts.
   Concentration Banking provides a bank account that allows unlimited check writing with no monthly or "per check" fees and pays a higher interest rate than traditional bank accounts. The unit's Treasurer has complete control over the management of the activity in the bank account. Upon submission of bank signature cards for the Concentration Bank account, a checkbook, deposit tickets and an endorsement stamp will be provided. An initial deposit must be made in the account before checks are written. Monthly reports, detailing all activity, will be available to all units to download in pdf or Excel once the monthly close is complete.

3. Bank Account Signatures

   All IEEE Geographic Units and Conference bank accounts must have the IEEE Senior Director, Financial Services as a signator thereon. Procedures for handling bank account signatures shall be maintained in the IEEE Finance Operations Manual (IEEE Policies, Section 11.3.A.3).

   All Geographic Unit and Conference bank accounts shall have signature cards with at least two volunteer signatures, one volunteer as the primary signatory and one additional volunteer as an alternate. In addition, the IEEE Senior Director, Financial Services shall be designated as an alternate signatory.

   Signature card administration will be managed through the IEEE Operations Center and other offices as needed. This process will provide assurance of the availability of the IEEE funds allocated to the unit.

4. Capital Procurement Policy

   Procedures for the purchase and disposition of capital items shall be maintained in the IEEE Finance Operations Manual (IEEE Policies, Section 11.3.A.4).

   The procurement of capital items, including equipment, furniture, property, etc., with a value in excess of USD5,000, is contingent upon its approval in the IEEE organizational unit's annual budget. The actual purchase of such capital items must be approved by the person with the appropriate level of signing authority. Purchases must then be processed through the IEEE Procurement Operations.

   The IEEE Controller's Office must be notified of purchases and disposition of capital items directly or through the unit's annual report so that the IEEE's property records reflect the value of all IEEE capital assets.

5. Requirements Outside the U.S.

   Adherence to IEEE Policies regarding Asset Management will be the same outside of the United States, except where local laws and regulations prohibit compliance. Where there is a legal conflict, the objective of the IEEE Policy must still be observed. For example, Australian Government regulations require all signers to banking accounts to prove their identity by personal presentation of a current valid passport or driver's license. To comply with IEEE Policy, the IEEE Senior Director, Financial Services, would need to fly to Australia to add his signature to the bank account. Since this is not practical, another officer of the IEEE organizational unit should be added as a signer to the bank account. The IEEE Controller's Office shall be notified when local laws and regulations prohibit or make impractical compliance with IEEE Policy.

6. Receivables

   IEEE shall record a receivable on its books for amounts due from members, customers, and others for goods delivered and services rendered. Unless longer terms have been agreed upon, outstanding receivables shall be reserved as uncollectable after six (6) months.

7. Affinity Groups

   An affinity group is a local unit of a larger IEEE organizational unit or standing committee, established by petition to the parent organizational unit, to fulfill the purposes of the IEEE. "Parent Organizational Unit" refers to a unit, usually a Section or standing committee of the IEEE. The following groups have been acknowledged by MGA as parent OUs, as defined above and described in their Affinity Group charters (currently IEEE Young Professionals, Life Members Committee, Women in Engineering, and Consultants Network). Financial activity of and assets allocated to Affinity Groups shall be reported to the organizational unit(s) under whose supervision they reside.

B. Accounting Method

Accounting methods shall be specified in the IEEE Finance Operations Manual (IEEE Policies, Section 11.3.B).

1. Accrual Method

In preparing its financial statements, IEEE uses estimates and assumptions that affect the reported amounts of liabilities and disclosure of contingent liabilities, in conformance with generally accepted accounting principles. Actual results could differ from those estimates. Total Assets less Total Liabilities results in Net Assets. Liabilities include such items as Accounts Payable, Accrued Liabilities and Loans Payable.

IEEE utilizes the accrual method of accounting. It is IEEE policy to accrue significant items during the year, if possible. At year-end unbilled items, above an agreed upon threshold, shall be accrued as a matter of course.

All contracts, agreements, pledges, and Memorandums of Understanding create liabilities for IEEE. Such items, above USD25,000, shall be reviewed by subject matter experts prior to final approval and execution. This procedure is described in detail in FOM.9.

Definitions

Accounts Payable are balances owed to others for goods, supplies, or services purchased on account. They arise because of the time lag between the receipt of services or acquisition of title to assets and the payment thereof.

Accrued Liabilities are balances due for services rendered or materials received for which payment has not been made. During each year, the Accounting Department shall accrue for significant items. At year-end, unbilled items above an agreed threshold shall be accrued.

Loans Payable are written promises by IEEE to pay a certain sum of money on a specified future date and may arise from sales, financing, or other transactions.

FOM.4 – EXPENDITURE OF UNRESTRICTED NET ASSETS

IEEE Unrestricted Net Assets are defined as the total unrestricted accumulated surpluses of all IEEE Organizational Units. The IEEE Board of Directors has fiduciary responsibility for, and the right to direct and control, all IEEE Net Assets (IEEE Policies, Section 11.4).

A. Investment Returns from IEEE Unrestricted Net Assets

Investment returns from Unrestricted Net Assets may be allocated by the IEEE Board of Directors to the IEEE Organizational Units with stewardship of unrestricted net assets (IEEE Policies, Section 11.4.B).

B. Recommended Levels for IEEE Net Assets

It is the policy of IEEE to maintain a long term financial position that will allow IEEE to meet its mission, strategic goals, and objectives (IEEE Policies, Section 11.4.C).

A net asset level range (Lower and Upper Net Assets Targets) shall be proposed by the IEEE FinCom each year and presented for approval by the IEEE Board of Directors at the first regularly scheduled Board meeting of each year. The Lower and Upper Net Asset Targets shall be determined based on the Total Net Asset Risk as assessed by the IEEE FinCom. The Total Net Asset Risk shall be developed in consultation with all IEEE major OUs and IEEE Staff.

Total Net Asset Risk shall be defined as the sum of all reasonably potential reductions in IEEE Net Assets based on a comprehensive review of IEEE's business risk. The IEEE FinCom shall annually determine the process for reviewing the Total Net Asset Risk and consider if an exhaustive review is needed. It is anticipated an exhaustive review will be done once every three years.

The Lower Net Assets Target shall be 70% of the Total Net Asset Risk and the Upper Net Asset Target shall be 100% of the Total Net Asset Risk. The Targets shall be set as fixed dollar amounts.
The IEEE FinCom shall monitor the status of the Actual Net Assets as a part of the Quarterly Financial Reporting Package. The Actual Net Asset Level is the reported Assets minus Liabilities on the balance sheet as reported from time to time.

If the Net Assets fall below the Lower Net Asset Target, the IEEE Treasurer shall notify the IEEE President and convene a meeting of the IEEE FinCom within two weeks. Notification of the situation and recommendations (if any) from the IEEE FinCom shall be forwarded to the IEEE Board of Directors within two weeks of the IEEE FinCom meeting. The IEEE Treasurer may, at any time, request the IEEE FinCom to review the Total Net Asset Risk or the Lower and Upper Net Asset Targets. Any changes shall be approved by IEEE Board of Directors.

FOM.5 – INSURANCE COVERAGE

It is IEEE policy to maintain property and liability insurance coverage to protect the IEEE, its organizational units, employees, volunteers, and subsidiary entities against risk arising from IEEE business operations (IEEE Policies, Section 11.5).

IEEE's Corporate Insurance Program is managed by the IEEE Office of Risk and Insurance Management Services.

IEEE shall maintain property insurance to provide replacement coverage for IEEE buildings and contents against such perils as theft, fire, wind, earthquake, flood, etc. It does not cover personal articles belonging to employees or volunteers. Each property loss claim is subject to a policy deductible.

IEEE shall maintain liability insurance to protect IEEE in the event a claim is made against IEEE and/or its volunteers. IEEE volunteers are included as additional insureds while acting within the scope of their duly authorized duties on committees and other IEEE sanctioned activities.

IEEE's insurance coverage does not provide coverage for third party organizations that are co-sponsoring an IEEE activity, exhibit, meeting, or conference. The co-sponsoring entity should maintain its own insurance coverage at its own expense. At times IEEE may be required to provide evidence of its insurance coverage in the form of a Certificate of Insurance. Certificates of Insurance must be requested through the IEEE Office of Risk and Insurance Management Services. All claims and incidents that could give rise to an insurance claim shall be immediately reported to the IEEE Office of Risk and Insurance Management Services.

The following is a brief informational summary of coverage provided under the Corporate Insurance Program. This information is not intended to reflect all terms, conditions, and exclusions of the insurance policies and does not amend, alter, or extend coverage afforded under the actual policies.

IEEE shall maintain the following coverage:

Business Property - provides replacement coverage for IEEE owned and leased property.

Commercial General Liability - provides coverage in the event IEEE is found legally liable for third party bodily injury or damage to the property of others.

Umbrella / Excess Liability - provides additional amounts of insurance in excess of other underlying primary liability insurance policies.

Business Auto Liability - provides insurance coverage for bodily injury or property damage losses caused by an auto accident and resulting from the ownership, maintenance, or use of a covered auto. Consult the Office of Risk and Insurance Management Services to determine how coverage applies when utilizing personal or rental vehicles on authorized IEEE business travel.

Commercial Business Crime - provides coverage for loss of money, securities, and inventory resulting from a variety of criminal acts, such as employee / volunteer theft, robbery, forgery, extortion and computer fraud. The IEEE Business Crime insurance does not provide coverage for theft by third-party services providers (e.g. A Conference Registration Company).

Workers' Compensation & Employers' Liability - provides coverage for employee job-related injuries resulting from an accident or occupational disease and conforms to statutory requirements. All job-related injuries and accidents shall be reported to the employee's supervisor and the IEEE Benefits Department as soon as practical.

Directors' & Officers' Liability - provides coverage for the liability caused by errors and omissions committed by directors and officers while acting within the scope of their duly authorized duties as directors and officers.

Fiduciary Liability - provides coverage for the liability of a person who acts as a fiduciary for the Employee Benefits Plans.

Professional Errors & Omissions Liability - provides coverage for the liability arising from IEEE publishing and standards development activities.
Cyber Risk Liability – provides coverage for network security, privacy liability, and expenses associated with an IT security incident or event.

Conference Cancellation – provides coverage for the additional expenses or lost revenue resulting from cancellation of an event due to circumstances beyond the control of the sponsor. Examples of such disruptions include natural disasters, property damage to a venue, labor strikes, and other unforeseen causes of event cancellation.

Global Travel Accident / Medical Expense - provides coverage for accident and illness medical expenses incurred outside the home country, transportation expenses associated with medical evacuation and repatriation, indemnity in event of accidental death or dismemberment, and worldwide travel and medical assistance services. Coverage applies to employees and IEEE volunteers.

IEEE may maintain other Individual insurance policies as deemed appropriate.

For additional information, contact the IEEE Office of Risk and Insurance Management Services at orims@ieee.org.

FOM.6 – TRAVEL AND EXPENSE REIMBURSEMENT

Travel Policy and Funds. It is IEEE policy to provide for, or reimburse, reasonable authorized travel expenses incurred in connection with the conduct of IEEE business. All persons traveling on IEEE business for whom IEEE pays or reimburses transportation expenses shall travel economically by booking economy class flights well in advance and shopping for low-cost business class train fares and low-cost rental car rates. Guidelines and procedures for reimbursement, required receipts and related limitations, beyond those described in this policy, shall be specified in the IEEE Finance Operations Manual.

IEEE does not reimburse for the travel expenses of spouses or travel companions as an entitlement. Airfare, hotel, and incidental costs of spouses or travel companions are never covered but it is recognized that there are occasions where the demand on volunteer time in particular, requires travel with a spouse or companion which may result in some meal costs being expensed. Since the purpose of the business trip is already deemed necessary and the only incremental cost is the spouse/companion meals, expensing the meals is acceptable as long as the cost is reasonable and the practice is not perceived as an entitlement. Spouse/companion costs for purely social gatherings must be reimbursed on the staff or volunteer person's expense report as a reduction of reimbursed expenses.

IEEE President's Travel Reimbursement Policy. Due to the extensive travel required by the IEEE President, it is IEEE policy to (i) reimburse the IEEE President for reasonable, budgeted travel expenses for their spouse or other travel companion when accompanying the IEEE President on IEEE business up to USD 60,000, and (ii) pay to the IEEE President a cash tax gross-up payment to cover United States federal income taxes – solely with respect to the spouse or other travel companion travel expense reimbursement amount, plus the cash gross-up payment. Where the IEEE President is not a US person for United States federal income tax filing purposes, IEEE will submit the tax gross-up directly to the IRS as required.

Airfare. All persons traveling on IEEE business who are seeking reimbursement for airfare or for which airfare is provided for them by IEEE, shall book only the most economical airfare, i.e., non-refundable, economy-class, coach-fare tickets; provided, however, the reimbursement or purchase by IEEE of business class fares shall be permitted only (i) when the flying time is over eight consecutive hours for a single segment or over eight hours flying time where a layover is required, (ii) when it is budgeted by the organizational unit, and (iii) with permission of the major organizational unit Vice President or President or in the case of Staff, the IEEE Executive Director.

Individuals are encouraged to purchase upgradeable coach class fares and use miles or coupons to upgrade to business class.

Permission to travel business class for medical reasons may be granted by the IEEE President (IEEE Policies, Section 11.6).

A. Reporting Travel Expenses

It is recognized that travel by IEEE volunteer members of its Boards and Committees and Staff is necessary for many of the essential activities of the IEEE; therefore, funds shall be budgeted explicitly to cover travel expenses for each Board and Committee.

Travel expense is provided by the IEEE, which may be reimbursed or paid directly by IEEE, in accordance with the Expense Reimbursement Guidelines for IEEE Volunteers. This document contains information, including but not limited to, covered expenses, timeliness of reporting, reimbursement processing, international travel, and details of the submission process.

B. Approvals

Major Boards shall establish written procedures for approval of travel-related business expenses for committee expenses, regional activities, conferences, etc.

Each organizational unit shall document its methodology for dealing with travel issues.

FOM.7 – FUND-RAISING: GRANTS AND CONTRIBUTIONS

IEEE may solicit and accept voluntary contributions and grants in support of its purposes and objectives. It is the policy of IEEE to comply with all applicable

charitable solicitation and donation laws, U.S. and elsewhere (at each governmental level).

The approval and coordination and specific procedures pertaining to the solicitation and acceptance of charitable contributions, and the submission of grant proposals and receipt of grants shall be specified in the IEEE Finance Operations Manual (IEEE Policies, Section 11.7).

A. Purpose

The purpose of the above policy and this procedure is to keep IEEE departments and OUs, including conferences, informed of other department and organizational unit appeals to the membership, corporations, foundations, government agencies and other funding sources, and to prevent conflicting, duplicate, or excessive fundraising efforts that may work to the detriment of IEEE. It is designed to protect donors by providing thoughtful, coordinated solicitations; to protect IEEE by ensuring compliance with government regulations and related funding grant requirements, as well as charitable solicitation and donation laws; and to provide support to the fundraising and grant seeking efforts of IEEE units. To enhance IEEE's brand and public awareness, fundraising strategies will effectively communicate the impact and mission.

B. Scope

This procedure applies to all staff and the entire membership of IEEE throughout the world and is consistent with the policy of the IEEE Foundation, Inc. Any IEEE OU, member, staff member, or volunteer who wishes to conduct any type of fundraising project or initiative in the name of, or for the benefit of, any IEEE department, organizational unit, or group, shall follow the procedures established in this IEEE Fundraising Policy as well as in any other areas of the IEEE Policies that refer to use of IEEE resources. There are independent related organizations, such as the IEEE Foundation and the IEEE Canadian Foundation, which raise funds on behalf of and in the name of IEEE. The IEEE Development Office maintains the list of independent organizations that have such a relationship with IEEE.

C. Definitions

• Charitable Contribution – The United States Internal Revenue Service defines a payment as a gift with the following criteria: the contributor must intend the payment to be a gift; that the contribution must be in excess of the value of any benefit the donor received in return; and the recipient organization must be qualified by the United States IRS to receive gifts.

• Cooperative Agreement – An award similar to a grant, but in which the awarding agency's staff may be actively involved in proposal preparation, and anticipates having substantial involvement in research activities once the award has been made.

• Fundraising Solicitation – The direct or indirect request for charitable contributions, monies, or other items of value by, in the name of, or for the benefit of the IEEE.

• Grant – A type of financial assistance awarded for the conduct of research or other program as specified in the grant proposal. Grants can be awarded by private or government funding sources. A grant, as opposed to a cooperative agreement, is used whenever the awarding agency anticipates no substantial programmatic involvement with the recipient during the performance of the activities.

• Grant Proposal – An application for private or governmental funding that contains all information necessary to describe project plans, staff capabilities, and funds requested. Proposals shall be approved, executed, and submitted according to the table in Section J of this Section.

• Indirect Cost – The term indirect costs, as used in FOM.7, is a policy as it relates to government sponsored grants and which is calculated based on the OMB Circular A-122 issued by the U.S. Federal Government. The rate is calculated once per year and is used where applicable.

• IEEE OUs – are subsets of the entire IEEE membership which includes, but is not limited to Regions, Sections, Chapters, Branches, Conferences, Societies, Technical Councils, Geographic Councils, and all other IEEE-related groups (See Bylaw I-107.1).

• Principal Investigator – The individual responsible for the conduct of research, or other program activity, as described in a proposal for an award.
The Principal Investigator is responsible for all programmatic and administrative aspects of a project or program typically associated with a government grant.

• Preliminary Proposals/Letters of Inquiry – A communication with a granting agency designed to determine agency's level of interest in the proposed research or program. Communication does not commit IEEE to proposed activity.

D. Contribution Procedures

The IEEE Development Office is the primary office to support and coordinate fundraising activities for IEEE OUs, members, and staff worldwide. All IEEE OUs and members shall adhere to the highest ethical standards in raising funds for IEEE, including, but not limited to, the following:

- Staff participating in fundraising efforts will work for a salary or fee, but shall not receive percentage based compensation or a commission;
- All donor and prospect information created by, or on behalf of, the IEEE is the property of the IEEE and shall not be transferred or utilized except on behalf of the IEEE or the IEEE Foundation, Inc; and
- Fundraisers and program managers are required to ensure that contributions are used in accordance with the donors' intentions.
- Donors shall have the options to limit the use of their personal information to IEEE's internal use and to have their names removed from IEEE's mailing list; and
- IEEE's policy with respect to the privacy of donor information shall be reflected in its solicitation materials and on its website.

IEEE members shall follow IEEE Policies and procedures regarding the use of the IEEE letterhead and logo for all fundraising projects.

IEEE shall comply with all applicable laws and regulations. Registration to solicit charitable contributions is required by most states within the continental U.S. Verification shall be made with the IEEE Tax Department that the IEEE is registered, and approved, prior to solicitation for charitable contributions.

IEEE shall formally acknowledge cumulative contributions to the IEEE of USD250 or more. The IEEE Development Office is available to assist with the acknowledgement of contributions.

In order to preserve the intention of the donor and to make clear the time frame of annual and multi-year gifts, gift agreements shall be created for charitable contributions in accordance with FOM.9 or for any amount when the contribution includes specific designations, restrictions or conditions not otherwise documented. The format for the gift agreement may be obtained from the IEEE Development Office.

Any questions regarding IEEE fundraising activities should be directed to the IEEE Development Office.

E. Authorization to Solicit Charitable Contributions

IEEE OUs planning to solicit charitable contributions from individuals, corporations, and/or organizations shall request approval prior to commencing the fundraising activity. The request to solicit shall explain the scope of the solicitation activity including (1) purpose for which the contributions are being sought and how it relates to the IEEE mission, (2) sources to be canvassed, (3) the appeal methodology to be employed and promotional materials to be used, (4) timing and frequency of the appeals, (5) estimated costs and source of funding, and (6) estimated revenues.
Requests to solicit shall be routed for approval based upon the total amount to be raised as follows:

Volunteer or Staff Function	Total Amount to be Raised in USD
In accordance approval table outlined in FOM.9.H	<10,000,000
IEEE Board of Directors	>10,000,000

Solicitation requests that require more than 40 hours a year of IEEE Development Office staff time and/or the establishment of an IEEE Foundation managed fund shall additionally require the approval of the IEEE Foundation Board of Directors.

IEEE OUs are strongly encouraged to copy the IEEE Development Office on requests to solicit especially if the amounts to be raised are USD100,000 or more. The IEEE Development Office is available to provide IEEE OUs with consultative guidance on fundraising best practices.

F. Grants Proposal Submission Procedures

IEEE Government Sponsored Programs Office is the primary office to support and coordinate applications for grants and cooperative agreements from private sources with IEEE as the grantee.

Prior to submission to the granting agency, the Principal Investigator shall forward the grant proposal and budget to the IEEE Government Sponsored Programs Office. This Office shall review the grant proposal and budget for completeness, consistency with the IEEE mission, granting agency regulations and requirements, and funding priorities of the granting agency as outlined in the Request for Proposal. Complete proposals shall be routed for approval for submission to the funding agency according to FOM.7.H.

Submission of a preliminary proposal/letter of inquiry shall also be handled by the IEEE Government Sponsored Programs Office. Prior to submission, this Office shall assess the material to ensure completeness and consistency with the IEEE mission, granting agency requirements and regulations, and funding priorities of the granting agency as outlined in the Request for Proposal. As the preliminary proposal/letter of inquiry is not binding, no approval beyond the IEEE Government Sponsored Programs Office is required for submission. Approval shall be sought if a grant proposal is to be submitted.
Letters in support of external organization's proposals for government sponsored programs or projects, which are not binding and where no funds will be allocated to IEEE, need no approval beyond the IEEE Government Sponsored Programs Office. Binding agreements that require IEEE to contribute to the Scope of Work of government sponsored program or project, such as Letters of Commitment, Memorandums of Understanding, and Sub-Award Agreements from external organizations are subject to the same government grant proposal approval procedures as proposals generated by the IEEE.

Applications with the IEEE Foundation as the grantee are the responsibility of the IEEE Development Office and are subject to policies and procedures of the IEEE Foundation. The IEEE Government Sponsored Programs Office and the IEEE Development Office shall coordinate their efforts.

G. Non-approval of a Grant Proposal

In the event that a grant proposal is not approved for submission, the grant proposal shall be returned to the IEEE organizational unit with an indication of the reasons for non-approval.

H. Grant Proposal Approval

Volunteer/Staff Function	Grant Proposal Approval Limits in USD
Government Sponsored Programs Office	<25,000
Member(s), Management Council	<250,000
Chief Financial Officer and Designated Volunteer Officer (defined FOM 8.E)	<1,500,000
IEEE Board of Directors / Alternate approval process	>1,500,000

Upon receipt of the appropriate approval, the staff member designated by the IEEE Executive Director shall execute and submit grant proposals to the funding agency.

I. Alternate Approval Process for Grant Proposals

Grant proposals, in excess of USD1,500,000, which require the approval of the IEEE Board of Directors, and that have a submission deadline prior to the next scheduled meeting of the IEEE Board of Directors may be approved for submission by the IEEE Executive Director and one of the following individuals: the IEEE Treasurer, President, President-Elect or Past President. Action taken shall be reported to the IEEE Board of Directors at its next regularly scheduled meeting.

J. Grant Award Procedures

Copies of grants and/or cooperative agreements awarded in response to grant proposals shall be forwarded to the IEEE Controller's Office for processing, administration, and record retention. A copy of the grant document, along with instructions for administering the grant, shall be provided to the Principal Investigator (PI).

The IEEE Government Sponsored Programs Office in conjunction with the IEEE Controller's Office shall execute grants per the granting organization's specific requirements.

Modifications to grant awards, including scope of work, budget amendments, no-cost extensions and other similar changes, shall be requested by the PI. Approval and submission of award modification requests to granting agencies shall be overseen by the IEEE Government Sponsored Programs Office.

FOM.8 – IEEE CONTRIBUTIONS AND GRANTS TO EXTERNAL ORGANIZATIONS

Direct or indirect contributions of IEEE funds by any IEEE Organizational Units to any organization or individual may be made only with prior permission of the IEEE Board of Directors (IEEE Policies, Section 11.2.E.3(a)).

Approval of contributions under an amount which shall be specified in the IEEE Finance Operations Manual may be delegated by the IEEE Board of Directors to the appropriate Vice President or Major Board President (IEEE Policies, Section 11.2.E.3(b)).

A. Contributions from IEEE

Contributions from IEEE shall be reported as Public Imperatives Activities.

No contribution from IEEE funds allocated to IEEE OUs including Societies, Technical Councils, Geographical Units, and Conferences shall be approved for any purpose other than to further the objectives of the IEEE, as stated in the IEEE Constitution, Article I, Section 2. (See section B for donations to The IEEE Foundation).

Any contribution, including a contribution for disaster relief as defined in IEEE Policies Section 11.8 – IEEE Contributions to Disaster Relief Policy, made to a US Section 501(c)(3) tax-exempt nonprofit organization shall be used in furtherance of that organization's exempt purposes and also in furtherance of IEEE's educational and scientific purposes. Contributions to other organizations that are not US Section

501(c)(3) tax-exempt nonprofit organizations shall be made only pursuant to a written restricted gift agreement between IEEE and the recipient organization.

This procedure shall apply to any contribution of any IEEE asset held by any IEEE OUs including, but not limited to, Societies, Technical Councils, Geographic Units, and Conferences, including money, securities, and the interest, dividends or other earnings on these assets. This policy shall also apply to funds loaned by any IEEE OUs including, but not limited to, Societies, Technical Councils, Geographic Unit, and Conferences on behalf of IEEE to non-IEEE entities.

Requests for permission to contribute IEEE funds allocated to IEEE OUs including, but not limited to, Societies, Technical Councils, Geographic Units, and Conferences, in excess of USD25,000, shall be addressed to the appropriate Major Board and then forwarded to the IEEE Board of Directors for approval. Each request shall contain the following information:

a. purpose of the proposed contribution;

b. amount and source of the funds to be contributed;

c. name, location and other pertinent information concerning the grantee organization or individual; and

d. a statement of the reciprocal benefits to be enjoyed by the IEEE and the grantee.

All requests for permission to contribute funds, including those in support of disaster relief as defined in IEEE Policies Section 11.8 – IEEE Contributions to Disaster Relief Policy, shall require the completion and submission to the IEEE Treasurer of an IEEE Contribution Proposal Form. The form shall be made available on the IEEE Website.

Contributions may take the form of (i) funds, equipment, or services that further and promote scientific or technological knowledge and education (e.g., computers), or (ii) grants that are tied directly to such purposes (e.g., scholarships, support of a library, equipping a classroom, and/or supporting infrastructure).

IEEE Institute-level awards to be funded by an IEEE organizational unit, or one of its sub-units (i.e., Societies, Geographic Units, etc.) shall be funded on an annual basis and budgeted for yearly. In extraordinary situations, units may seek to make a donation to the IEEE Foundation for supporting an award in perpetuity. Such proposed donations require the sequential endorsement by the OU governing bodies and IEEE FinCom and approval from the IEEE Board of Directors.

For contributions in an amount of USD25,000 or less, the same process described above shall be followed, except requests for permission shall be addressed to the appropriate Major Board Vice President or President, as such authority has been delegated by the Board of Directors.

In the case of a contribution to an organization or individual to be selected after permission is granted (as in the case of scholarships, fellowships, grants-in-aid, etc.) the qualifications to be met by the grantee, when selected, shall be stated.

Permission to make contributions on a recurring or continuing basis (such as educational awards and scholarships) requires approval by the Board of Directors, or by a designated Major Board authorized by the Board of Directors.

Also reference IEEE Policies, Section 11.8 – IEEE Contributions to Disaster Relief Policy.

B. Donating to the IEEE Foundation

In order for an IEEE OU to make a donation to the IEEE Foundation to set a fund for a specific award, a minimum of a 50% matching contribution from an outside entity shall be received by the OU prior to the OU donation being sent to the IEEE Foundation (50% matching contribution means an amount equal to or greater than the IEEE OU donation).

The award fund in the IEEE Foundation that consists of both the OU and external donor contributions shall be initially funded at a value of at least 25 times the intended award to ensure award continuity.

FOM.9 – CONTRACT APPROVAL

Procedures related to procurement and contract negotiations, approval and execution shall be contained in the IEEE Finance Operations Manual (IEEE Policies, Section 11.2.E.1(a)).

A. Definitions

The definitions below are intended to provide a common vocabulary to use in relation to contracts.

1) Contract - An agreement enforceable by law between two or more parties that creates an obligation to perform (or not perform) a particular action.

2) Contract Value - Approvals and execution processes are dependent on the contract's total value. IEEE contracts are often complex so the monetary value may not be apparent. Clarification of contract valuation is located in the Contract section of the Legal & Compliance website.

3) Aggregate Purchase Value – The total supplier's cost of a product or service based on the full contracted term.

4) Technology Related Goods and Services - includes, but is not limited to, annual technology support and maintenance; SaaS (software as a service) agreements; click through services; storage and technical services; cloud services; computer hardware, software and supplies (including computer/server buy-outs); tech-related consulting;

finance-management related technology; mobile app; security; subscriptions; telecommunications; virtual platform; or website creation, hosting and maintenance.

5) Memorandum of Understanding (MOU) - An agreement between two or more parties outlined in a formal document. It is not legally binding but signals the willingness of the parties to move forward with a contract. For purposes of these procedures, contracts do not include Memoranda of Understandings between two or more IEEE units related to conferences, as described in IEEE Policies, Sections 10.1.4 and 10.1.5 that are handled through IEEE Conference Services.

6) High Risk - Transactions involving data privacy, government-affiliated entities, working with minors, high financial exposure or obligations, contracts where the initial term is greater than 5 years, etc.

B. IEEE Contract Management System

All contracts, agreements and MOUs [excludes MOU's housed in IEEE Conference Exchange (ICX)], regardless of dollar value, shall be processed via the IEEE Contract Management System (IEEE CMS).

C. Contract Templates

IEEE contract and MOU templates are available on the Legal & Compliance web site and shall be used to protect IEEE.

https://legal.ieee.org/contracts/contract-templates

Contracts that are not prepared using IEEE approved templates are known as "Third Party Agreements" or "Third Party Paper." These include but are not limited to; clickwrap acknowledgements, website terms & conditions whether referenced on a website or in an invoice, order form, quote, etc.

D. Contracts That Require Legal Review

Contracts meeting any of the following require legal review

1. total value greater than USD25,000
2. involve personally identifiable information ("PII"), e.g., individuals' names, emails, phone numbers, addresses, or other related information
3. High Risk
4. not on an IEEE contract template, or
5. any counterparty revisions to IEEE's standard language in the contract template
6. Agreements and MOUs that create liability for IEEE and/or include binding contractual terms.

E. Other Required Approvals

1) IEEE Suppliers

a) Prior to providing any goods or services to IEEE, suppliers shall be registered and approved by means of the Supplier Management System.

b) This process is managed by the Procurement Operations Department and is supported and administered by staff. The Supplier Management System shall be the primary secure portal and repository for the collection, maintenance, and retention of supplier tax and other sensitive business-related information. Further clarification is documented on the Procurement Operations website section of the IEEE intranet.

2) Technology Related

a) Contracts that involve the purchase of Technology Related Goods and Services (as defined in FOM 9, Section A) require approval by the IT Tech Standardization and Management team. For questions please contact: ittsm@ieee.org.

b) Contracts that involve PII require approval by IT Security.

3) Independent Contractors

a) Any individual, sole proprietor, or single owner LLC, shall be reviewed and approved as an independent contractor by the IEEE Legal & Compliance Department prior to the start of services and contract execution.

b) This process is managed by the Legal & Compliance Department. Further clarification is documented on the Legal & Compliance website section of the IEEE intranet.

4) Purchase Orders

a) As part of internal controls for all purchases of goods and services with an aggregate purchase value of USD1,000 and over require an authorized purchase order (PO) before work begins or goods are shipped. IEEE OUs/staff must not commence services or process orders until they receive a formal PO. IEEE OUs eligible to participate in the Concentration Banking program, as defined in FOM 3.A.2, are generally exempt from the PO requirement.

b) This process is managed by the Procurement Operations Department and supported and administered by staff. Further clarification is documented on the Procurement Operations website section of the IEEE intranet.

F. Vetting Suppliers

IEEE screens individuals and entities against publicly available databases globally to ensure that those vendors we choose as an organization do not have any potential legal or reputational risks. New suppliers will be vetted as they are submitted through the

Supplier Management System. When considering a transaction with any third party not already in or not being submitted via the Supplier Management System, vetting will continue to be required. Volunteers and staff should follow the process outlined on the Vetting page of the L&C website at https://legal.ieee.org/compliance/ofac/vetting.

G. Competitive Bidding

To ensure that IEEE receives the best value, a minimum of three written bids should be obtained for all purchases valued at or above USD50,000 in total. For purchases totaling USD250,000 or more, a formal competitive bidding process is required, unless a documented compelling business justification for proceeding without competition is provided and approved by the Management Council Representative of the relevant Organizational Unit. Examples of compelling business justifications include situations where a supplier is the only provider of a specific product or service (sole source), or where the costs associated with changing suppliers would be prohibitively high.

Contracts for conference hotels, catering, and convention centers are exempt from this requirement.

The Procurement Operations Department, along with authorized staff and volunteer subject matter experts will jointly manage and document the formal bidding process. Supplier selection will be based on various criteria, including but not limited to professional qualifications, experience, reliability, prior performance, and price. The Organizational Unit Management Council Representative must approve the selected supplier. All correspondence related to this process shall be electronically filed in the CMS for central record retention.

H. Contract Approval

1. Any contractual arrangement equal to or greater than USD10,000,000 shall be approved by the IEEE Board of Directors prior to execution.

2. "Execution" is the signing of the contract by IEEE's authorized volunteer/staff as noted in the chart below following approval in the IEEE CMS, legal review, and approval.

3. Contracts shall be executed (i.e., physically or electronically signed) only by authorized IEEE staff and volunteers as follows:

Volunteer or Staff Function	**Approval and Execution Authority Contract Value in USD**
Director, Procurement Operations and designees of members of the IEEE Management Council	<5,000
Conference Chairs or VP of Conferences and designees of members of the IEEE Management Council	<25,000

Region/Section Chairs and designees of members of the IEEE Management Council	<25,000
Society Presidents and designees of members of the IEEE Management Council	<25,000
Designated Volunteer Officer and designees of members of the IEEE Management Council	<250,000
Management Council Representative for the applicable Organizational Unit or his/her designee	<1,000,000
Volunteer under IEEE Power of Attorney	As indicated on the Power of Attorney issued in accordance with Authorized USD limits
Controller	<3,000,000
Chief Financial Officer (CFO)	<5,000,000
IEEE President, Treasurer or Executive Director	<10,000,000
Treasurer and IEEE Executive Director (Jointly) or Treasurer and CFO (Jointly)	<25,000,000
President and IEEE Executive Director (Jointly) or President and CFO (Jointly)	Unlimited

I. Designated Volunteer Officers

Organizational Unit	**Designated Volunteer Officer**
Corporate Activities	IEEE Treasurer
Finance Department	IEEE Treasurer
Educational Activities	VP Educational Activities
Member and Geographical Activities	VP Member & Geo. Act.
Publications	VP Publications
Standards	President IEEE Standards Association
Technical Activities	VP Technical Activities
IEEE-USA	President IEEE-USA

FOM.10 – SALES REBATES TO ORGANIZATIONAL UNITS

Rebates of USD3.5k shall be credited to a Society when a current online Society non-member institutional product subscription (e.g., the IEEE Computer Society Digital Library) upgrades to a larger institutional package sale of the IEEE/IET Electronic Library (IEL), the IEEE All Society Periodicals Package (ASPP), or the IEEE Proceedings Order Plans (POP or POP ALL). Rebates shall also be paid to IEEE SA when an IEEE Standards Online (ISOL)

subscriber with a subscription worth USD3.5k or more upgrades directly to an IEL, ASPP, or POP/POP ALL package.

Note: Society non-member online institutional products eligible for this rebate include the IEEE Computer Society Digital Library/CSDL, IEEE Computer Society Periodicals Package, or an IEEE Standards Online (ISOL) subscriber with a subscription worth USD3.5k or more. In order to receive a rebate, a rebate form shall be submitted by the organizational unit to the IEEE Global Sales Department within 12 months of the upgrade sale.